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Laopu Gold | Asia Pacific

1H26 Preview: Weak 2Q

WHAT'S CHANGED

Laopu Gold (6181.HK)	From	To
Price Target	HK\$1,010.00	HK\$590.00

Strong 1H headline growth masks soft 2Q, which we believe is largely priced in. Stock lacks near-term catalysts until demand visibility improves + management unveils refreshed strategy at August results. Laopu's brand-building runway and valuation continue to support the medium-term risk-reward.

Key Takeaways

- Ground checks and anecdotal feedback from mall operators and jewelry brands point to softer demand for fixed-price jewelry in 2Q.
- We expect 1H26 EPS to grow more than 110% YoY, driven largely by 1Q. A weak 2Q print could trigger consensus downgrades.
- Gold prices remain key near-term swing factor for revenue growth and valuation multiple. Low market penetration + ongoing brand building support LT growth.

1H26 results preview: We forecast revenue growth of 85% YoY to Rmb22.9bn and net profit growth of 112% YoY to Rmb4.8bn. Growth is heavily 1Q-led, with 1Q contributing 74% of revenue and 77% of profit in 1H. Laopu typically reports interim results in late August, with a preliminary announcement likely between late July and mid-August.

2Q fixed-price gold jewelry demand appears weaker than expected, based on softer store traffic and anecdotal feedback from mall operators. Peer data suggest a widening gap between fixed-price and weight-based products, with Chow Tai Fook (1929.HK) reporting +3% SSSG for fixed-price jewelry in April–May, versus +35% for weight-based gold jewelry. We believe Laopu's SSSG may underperform Chow Tai Fook's fixed-price category, given its 25–30% price increase in late February, shortly before gold prices declined.

Revisiting estimates: We lower our 2026–28 revenue estimates to reflect softer demand but raise margin assumptions on lower gold prices and raw material costs. Our 2026 EPS estimate increases by 1%, while our 2027–28 EPS estimates decline by 12–14%. We expect EPS to grow 60% in 2026 then 8% CAGR over 2026–28.

Despite the weaker near-term outlook, we remain OW given the supportive valuation of <7x 2026 P/E, a >10% 2026 dividend yield, upside risk to gold prices highlighted by our global commodities team, and long-term growth prospects via brand building. We lower our PT from HK\$1,010 to HK\$590, based on 11x 2026 P/E (vs. 20x previously), in line with Chow Tai Fook's (1929.HK) NTM P/E. We view this as sufficiently conservative, as Laopu offers greater medium-term growth potential given its lower market penetration and consumer awareness.

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Asia Summer School 2026

Laopu Gold (6181.HK, 6181 HK)

China/Hong Kong Consumer | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$590.00
Up/downside to price target (%)	55
Shr price, close (Jul 6, 2026)	HK\$380.00
52-Week Range	HK\$1,108.00–342.80
Sh out, dil, curr (mn)	176
Mkt cap, curr (mn)	Rmb57,933.3
EV, curr (mn)	Rmb62,150.1
Avg daily trading value (mn)	HK\$882

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	28.25	46.48	47.41	54.20
Prior EPS (Rmb)**	-	45.81	53.66	62.83
EPS (Rmb)§	27.78	47.78	53.55	63.10
Revenue, net (Rmb mn)	27,303	38,101	40,158	45,770
EBITDA (Rmb mn)	6,851	11,087	11,358	12,839
ModelWare net inc (Rmb mn)	4,868	8,198	8,361	9,559
P/E	20.1	7.1	6.9	6.1
P/BV	8.8	4.0	3.6	3.1
RNOA (%)	107.4	53.2	71.4	80.0
ROE (%)	124.2	73.9	58.3	58.8
EV/EBITDA	14.9	5.0	4.7	4.1
Div yld (%)	3.9	11.0	11.3	12.9
FCF yld ratio (%)**	(7.1)	20.2	13.8	12.6
Leverage (EOP) (%)	(17.7)	(62.0)	(65.2)	(59.0)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Laopu Gold 6181.HK

Monthly sales in 2Q vs March-2026;
Operating and net margin; Dividend

— In-line

↓ Modest revision lower

- We project revenue to grow 85% yoy to Rmb22.9bn and net profit to grow 112% to Rmb4.8bn. Growth mainly supported by robust 1Q26 but much weaker 2Q.
- (-) Weak top-line in 2Q: We assume ~Rmb2bn/month revenue in 2Q26, which is even lower than March 2026 (Rmb3bn sales and Rmb2.6bn revenue (ex-VAT)).
- (=) Better margins: We project gross margin to expand from ~37% in 2H25 to 42% in 1H26 (1Q26e: 41%, 2Q26e: 45%) and net margin to expand from 17.4% in 2H25 to 21% in 1H26.
- (+) We expect the company to maintain high dividend payout at 75% (1H25: 75%), translating into >8% trailing dividend yield.

*Likely impact to consensus EPS is for the next 12 months

Source: Company data, Morgan Stanley Research

1H26 results preview

We expect Laopu to report its interim results in late August. Before then, the company may announce preliminary results through a profit alert between late July and mid-August.

1H26: We project revenue growth of 85% YoY to Rmb22.9bn and net profit growth of 112% YoY to Rmb4.8bn. Growth has moderated from 2025 levels given a much higher YoY comparison base.

Growth is primarily driven by a robust 1Q26, followed by a significantly weaker 2Q26.

We assume revenue of approximately Rmb2bn per month in 2Q26, below the March 2026 run rate (Rmb3bn sales and Rmb2.6bn revenue ex-VAT). This could further weigh on market confidence in the demand outlook, as March is traditionally a peak season.

Margin expansion plays a more important role in earnings growth. We project gross margin to expand from approximately 37% in 2H25 to 42% in 1H26 (1Q26e: 41%; 2Q26e: 45%), while net margin expands from 17.4% in 2H25 to 21% in 1H26. This reflects aggressive price increases, with tag prices up 78% YoY and 44% HoH, while gold prices rose only 15% YoY and declined 10% HoH.

We expect the company to maintain its high dividend payout policy. We assume a 75% payout ratio, implying an interim DPS of Rmb20.4. This would bring the trailing dividend yield (2H25 + 1H26) to 8.5%. We project a dividend yield of more than 10% in 2026e.

Key focus in result briefing:

- Management's guidance for 2H26.
- Strategy during a gold price down-cycle – whether management aims to maintain current pricing despite potential volume pressure, or lower prices and adjust the product mix to support demand.
- Store network strategy – whether the company plans to rationalize its network or continue upgrading and expanding its store base.

Exhibit 1: Laopu: 1H26 results preview

Rmb mn	1H25	2H25	1H26e	1Q26e	2Q26e
Revenue	12,354	14,949	22,855	17,000	5,855
YOY	251%	200%	85%		
Net profit	2,268	2,600	4,802	3,700	1,102
YOY	286%	194%	112%		
Net margin	18.4%	17.4%	21.0%	22%	19%
Gross margin	38.1%	37.3%	42.0%	41%	45%
Staff cost ratio	3.5%	4.0%	3.5%		
Rent to sales ratio	7.3%	7.2%	7.3%		
DPS (Rmb)	9.6	12.0	20.4		
Payout	75%	81%	75%		
Gold Price - Shanghai Exchange AU 99.99 - avg of the period (Rmb/g)	764	975	879		
YOY	47%	65%	15%		
HoH	29%	28%	-10%		
Laopu's product average price hike during the period	10%	40%	27%		
Product price monthly average YOY	25%	38%	78%		

Source: Company data, Morgan Stanley Research estimates

More about valuation

The current share price of approximately HK\$380 has returned to its January 2025 level, when gold traded at around US\$2,600/oz or Rmb600/g – roughly 35% below current levels. At that time, the capital market was still relatively unfamiliar with Laopu given its short listing history (IPO in June 2024) and limited brand track record. Since then, Laopu has strengthened its brand equity through market share gains and expansion into leading luxury malls across China, increasing confidence among both consumers and investors that it could become the first domestic brand capable of challenging international luxury brands. While gold prices have undoubtedly contributed to Laopu's rapid success, we believe the company has also established a premium brand image in consumers' minds, which should warrant a valuation premium to cyclical stocks.

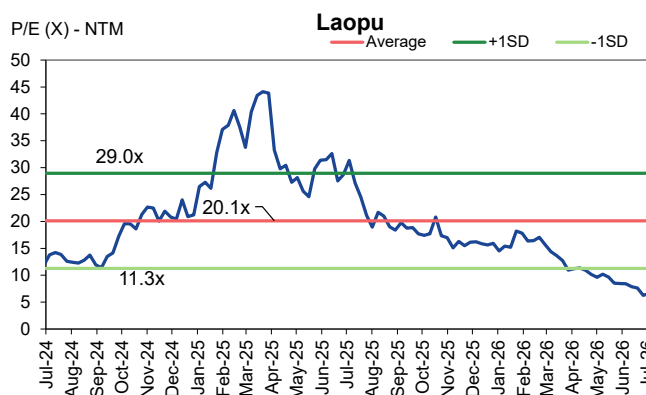
The stock trades at less than 7x NTM consensus P/E, below the trough valuation of key peer Chow Tai Fook, which traded at approximately 8x in mid-2024. At that time, Chow Tai Fook was still navigating an operational downturn marked by store closures and declining retail sales, with revenue falling 18% in FY25 (April 2024–March 2025). In contrast, Laopu remains in the brand-building and customer acquisition phase, and we continue to expect medium-term growth.

Exhibit 2: Gold price vs. Laopu stock price



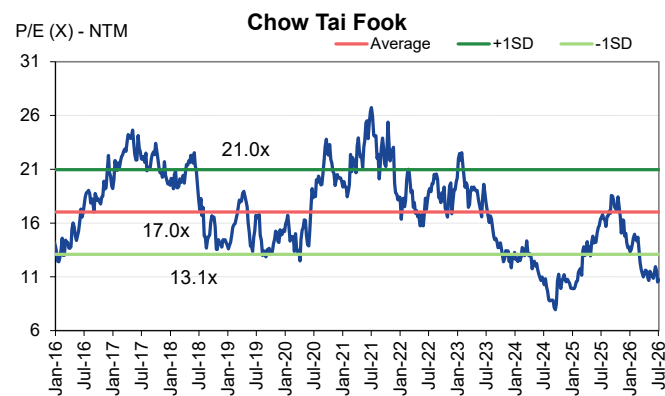
Source: Factset, CEIC, Morgan Stanley Research

Exhibit 3: Laopu NTM consensus PE



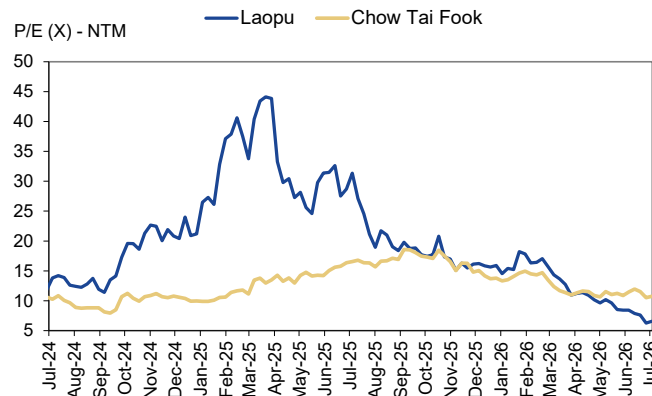
Source: Factset consensus, Morgan Stanley Research

Exhibit 4: Chow Tai Fook NTM consensus P/E



Source: Factset consensus, Morgan Stanley Research

Exhibit 5: Laopu vs Chow Tai Fook P/E



Source: Factset consensus, Morgan Stanley Research

What's Changed?

EPS

We lower our 2026–28 revenue estimates by 10–22%, as 2Q26 demand appears weaker than expected, highlighting the risk of softer brand momentum during a gold price down-cycle. A weaker gold price environment also reduces the company's ability to implement product price increases. We now expect Laopu to adopt a more conservative store expansion strategy in 2027–28 following the weaker-than-expected demand backdrop. As a result, our revenue cuts are larger for 2027–28 than for 2026.

However, lower gold prices also reduce raw material costs and support margin expansion. Net-net, we leave our 2026 EPS estimate largely unchanged (+1%), while lowering our 2027–28 EPS estimates by 12–14%.

PT and scenario values

A weaker gold price environment is negative for valuation multiples, as it reduces near-term demand and earnings visibility.

PT – cut from HK\$1,010 to HK\$590: We apply an 11x 2026 P/E multiple (vs. 20x previously), implying a 0.4x PEG ratio based on 2025–27 EPS CAGR. This is well below the China consumer sector average of 1.5x and, in our view, appropriately reflects the lower growth visibility. The target P/E also implies a dividend yield of approximately 5%, broadly in line with the China consumer sector average. An 11x target P/E is also around 1.5 standard deviations below the average of Chow Tai Fook's valuation range since 2016. We view this as reasonable in a volatile gold price environment.

Bear case – cut from HK\$550 to HK\$295: We apply 8x 2026 bear-case EPS (vs. 15x previously). In this scenario, gold prices continue to decline gradually and demand for Laopu's products weakens further. Investors continue to view the stock as a cyclical name and assign a low valuation multiple.

Bull case – cut from HK\$1,675 to HK\$1,420: We apply 25x 2026 bull-case EPS (vs. 30x previously). We see two potential bull-case outcomes: (1) gold prices resume their up-cycle, supporting jewelry demand and driving a re-rating of the stock; or (2) gold prices remain weak, but demand for Laopu's products remains resilient and the company continues to gain market share, demonstrating the strength of its brand. In this scenario, the market begins to assign a valuation premium to Laopu as a premium consumer brand.

Exhibit 6: Laopu: Changes to our estimates

Rmb'mn	New			OLD			Change%		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	38,101	40,158	45,770	42,263	49,626	58,587	-10%	-19%	-22%
Cost of sales	(21,781)	(23,291)	(26,547)	(25,279)	(29,664)	(35,014)			
Gross profit	16,320	16,866	19,224	16,984	19,962	23,573	-4%	-16%	-18%
Staff cost	(1,600)	(1,687)	(1,922)	(1,648)	(1,935)	(2,461)			
Rent expense	(2,819)	(3,012)	(3,433)	(3,170)	(3,821)	(4,511)			
Other operating expenses	(1,039)	(1,095)	(1,240)	(1,355)	(1,580)	(1,853)			
Operating profit	10,861	11,073	12,629	10,811	12,625	14,748	0%	-12%	-14%
Other income	10	10	10	10	10	10			
Other expense	(37)	(37)	(37)	(37)	(37)	(37)			
EBIT	10,834	11,046	12,602	10,785	12,599	14,721	0%	-12%	-14%
Finance costs	(188)	(188)	(188)	(188)	(188)	(188)			
Profit before tax	10,646	10,858	12,414	10,597	12,411	14,533	0%	-13%	-15%
Tax	(2,449)	(2,497)	(2,855)	(2,516)	(2,947)	(3,451)			
Profit after tax	8,198	8,361	9,559	8,080	9,463	11,082	1%	-12%	-14%
Minority interests	-	-	-	-	-	-			
Net profit to shareholders	8,198	8,361	9,559	8,080	9,463	11,082	1%	-12%	-14%
EPS (Rmb)	46.48	47.41	54.20	45.81	53.66	62.83	1%	-12%	-14%
YoY growth %									
Revenue	39.5%	5.4%	14.0%	54.8%	17.4%	18.1%	-15.2ppt	-12.0ppt	-4.1ppt
Operating profit	65.8%	2.0%	14.1%	65.1%	16.8%	16.8%	0.8ppt	-14.8ppt	-2.8ppt
Net profit	68.4%	2.0%	14.3%	66.0%	17.1%	17.1%	2.4ppt	-15.1ppt	-2.8ppt
Margin									
GPM	42.8%	42.0%	42.0%	40.2%	40.2%	40.2%	2.6ppt	1.8ppt	1.8ppt
OPM	28.5%	27.6%	27.6%	25.6%	25.4%	25.2%	2.9ppt	2.1ppt	2.4ppt
EBIT margin	28.4%	27.5%	27.5%	25.5%	25.4%	25.1%	2.9ppt	2.1ppt	2.4ppt
Net margin	21.5%	20.8%	20.9%	19.1%	19.1%	18.9%	2.4ppt	1.8ppt	2.0ppt
As % of revenue									
Staff cost	4.2%	4.2%	4.2%	3.9%	3.9%	4.2%	0.3ppt	0.3ppt	0.0ppt
Rent expense	7.4%	7.5%	7.5%	7.5%	7.7%	7.7%	-0.1ppt	-0.2ppt	-0.2ppt
Other operating expenses	2.7%	2.7%	2.7%	3.2%	3.2%	3.2%	-0.5ppt	-0.5ppt	-0.5ppt
SG&A	14.3%	14.4%	14.4%	14.6%	14.8%	15.1%	-0.3ppt	-0.4ppt	-0.7ppt
Other income & non-operating	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	0.0%	0.0ppt	0.0ppt	0.0ppt
Other ratio									
Effective tax rate	23.0%	23.0%	23.0%	23.7%	23.7%	23.7%	-0.7ppt	-0.7ppt	-0.7ppt
MI as % of profit after tax	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0ppt	0.0ppt	0.0ppt
MI as % of revenue	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0ppt	0.0ppt	0.0ppt
Dividend payout ratio	78%	78%	78%	78%	78%	78%	0.0ppt	0.0ppt	0.0ppt

Source: Morgan Stanley Research estimates

Risk Reward – Laopu Gold (6181.HK)

Attractive risk-reward; brand building to drive growth more than gold prices

PRICE TARGET HK\$590.00

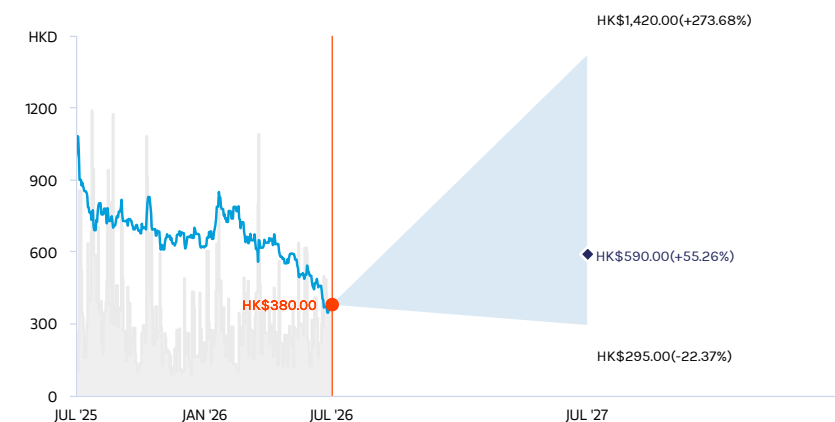
Base case scenario, P/E-based valuation methodology, consistent with the rest of our consumer discretionary coverage. We use 11x 2026e P/E, which implies ~0.35x PEG, lower than the average for consumer stocks.

We think this is reasonable considering gold price volatility and macro weakness. In addition, considering that growth is likely to decelerate in 2026 on a higher comp base, we believe a lower-than-peers PEG assumption is reasonable.

Consensus Price Target Distribution



RISK REWARD CHART

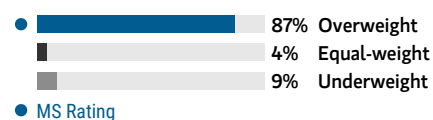


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Laopu is strategically positioned in a large market gap between foreign luxury and domestic gold jewelry brands. There is strong demand for finely crafted gold jewelry with designs inspired by Chinese culture.
- The company is still in the customer recruitment stage.
- Attractive risk-reward considering earnings growth and valuation.

Consensus Rating Distribution



Risk Reward Themes

Pricing Power: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$1,420.00

25x 2026e P/E

Either gold prices resume their up-cycle or demand remains resilient despite weaker gold prices: Our bull-case 2026 earnings are 20% above our base-case forecast, reflecting stronger brand momentum, higher average sales per store, and faster network expansion. In this scenario, the company demonstrates the resilience of its brand and demand even in a weaker gold price environment, prompting investors to value Laopu as a premium consumer brand rather than a cyclical stock.

BASE CASE

HK\$590.00

11x 2026e P/E

Stable gold price environment: We forecast a 31% 2025-27 earnings CAGR with moderate same-store momentum and store expansion after peaking in 1Q26. Gross margin expansion on lower raw material costs.

BEAR CASE

HK\$295.00

8x 2026e P/E

Soft gold prices and weak brand momentum: Our bear-case 2026 earnings are 20% below our base-case forecast, reflecting weaker brand momentum, stabilizing average sales per store, and slower network expansion. Demand weakens further, and investors continue to view Laopu as a cyclical gold proxy, resulting in a lower valuation multiple.

Risk Reward – Laopu Gold (6181.HK)

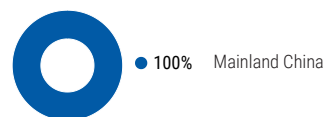
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Net profit (%)	230.5	68.4	2.0	14.3
Revenue (%)	221.0	39.5	5.4	14.0

INVESTMENT DRIVERS

- Gold price trend
- China macro and overall consumption trend
- Competitive landscape in gold jewelry market in China
- Network expansion and brand building in the overseas market

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- More proactive consumption-related policy support
- Faster-than-expected same store sales growth
- Gold price rally

RISKS TO DOWNSIDE

- Delay in consumption-related policy support
- Weaker-than-expected demand trend due to sharp gold price correction
- Sharp sales growth slowdown

OWNERSHIP POSITIONING

Inst. Owners, % Active 67.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (Rmb, mn) 28,346.5 40,157.7 61,048.0
48,267.4

Net income (Rmb, mn) 6,653.3 8,361 11,955.0
9,431.8

EPS (Rmb) 37.7 47.4 64.7
53.5

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 7: Laopu financial

Rmb'mn; YE December	2025	2026E	2027E	2028E	Rmb'mn; YE December	2025	2026E	2027E	2028E
Income Statement					Cash Flow Statement				
Revenue	27,303	38,101	40,158	45,770	Profit after tax	4,868	8,198	8,361	9,559
Cost of Goods Sold	(17,029)	(21,761)	(23,291)	(26,547)	Depreciation & Amortization	301	227	296	210
Gross Profit	10,274	16,320	16,866	19,224	Other Non-Cash Items	542	(188)	(188)	(188)
Selling expenses	(3,156)	(4,666)	(5,001)	(5,741)	Change in Net Working Capital	(12,559)	3,800	(270)	(1,967)
General & admin expenses	(543)	(762)	(763)	(824)	Operating Cash Flow	(6,848)	12,036	8,188	7,614
R&D expenses	(25)	(31)	(30)	(30)	Capital Expenditure	(145)	(348)	(218)	(328)
Operating Income - b/f Other Inc/Exp	6,549	10,861	11,073	12,629	Other	0	0	0	0
Other Income (Expense) - Net	(26)	(26)	(26)	(28)	Net Cash Used in Investing Activities	(145)	(348)	(218)	(328)
Operating Income	6,523	10,834	11,046	12,602	Loans Borrowed/ Repaid	4,893	0	0	0
Net Interest Income (Expense)	(139)	(188)	(188)	(188)	Share Repurchase/ Issue	4,951	0	0	0
Income Before Tax	6,384	10,646	10,858	12,414	Dividends - Minority & Ordinary	(1,096)	(4,956)	(6,454)	(6,941)
Provision for Income Tax	(1,516)	(2,449)	(2,497)	(2,855)	Other	(538)	188	188	188
Minority Interest	0	0	0	0	Net Cash Flow from Financing	8,211	(4,768)	(6,266)	(6,753)
Net Income	4,868	8,198	8,361	9,559	Change in Cash	1,217	6,920	1,703	533
Shares Outstanding (mn)	176	176	176	176	Effect of FX	(32)	0	0	0
EPS - diluted	28.25	46.48	47.41	54.20	Prior Yr Balance	733	1,918	8,839	10,542
Payout Ratio	78.0%	78.0%	78.0%	78.0%	Ending Balance	1,918	8,839	10,542	11,075
Effective Tax Rate	23.7%	23.0%	23.0%	23.0%					
Total POS (# of stores)	45	51	55	61					

Rmb'mn; YE December	2025	2026E	2027E	2028E	Rmb'mn; YE December	2025	2026E	2027E	2028E
Balance Sheet					Ratio Analysis				
Cash & Cash Equivalent	1,918	8,839	10,542	11,075	YoY Change				
Trade and Other Receivables	1,280	1,452	1,531	1,745	Revenue	221.0%	39.5%	5.4%	14.0%
Inventories	16,044	12,231	12,425	14,162	Gross Profit	193.4%	58.8%	3.4%	14.0%
Other Current Assets	1,307	1,105	1,156	1,297	Operating Profit (B/f Other Inc/Exp)	231.9%	65.8%	2.0%	14.1%
Total Current Assets	20,549	23,627	25,654	28,279	Operating Income	229.9%	66.1%	2.0%	14.1%
PP&E	175	181	111	149	EBITDA	228.4%	67.4%	2.4%	13.0%
Construction-In-Progress	366	501	505	584	Net Income	230.5%	68.4%	2.0%	14.3%
Intangible assets and goodwill	13	13	13	13	Margins				
Other Long Term Assets	129	129	129	129	Gross Margin	37.6%	42.8%	42.0%	42.0%
Total Non-current Assets	703	824	757	874	Opex/ Sales	13.5%	14.2%	14.4%	14.3%
Total Assets	21,253	24,450	26,411	29,153	Operating Margin (B/f Other Inc/ Exp)	24.0%	28.5%	27.6%	27.6%
Short Term Loans	0	0	0	0	Operating/EBIT Margin	23.9%	28.4%	27.5%	27.5%
Trade and Other Payables	636	553	591	674	EBITDA Margin	24.3%	29.2%	28.4%	28.1%
Advance collection	228	266	280	319	Net Margin	17.8%	21.5%	20.8%	20.9%
Other Current Liabilities	9,016	9,018	9,019	9,022	Returns				
Total Current Liabilities	9,880	9,836	9,890	10,015	ROE	124%	74%	58%	59%
Long Term Debt	100	100	100	100	ROA	23%	34%	32%	33%
Other Long Term Liabilities	177	177	177	177	Efficiency				
Total Non-current Liabilities	277	277	277	277	Day's Receivables - EOP	23	23	23	23
Total Liabilities	10,157	10,114	10,167	10,292	Day's Inventory - EOP	216	205	195	195
Common Stock	176	176	176	176	Day's Payables - EOP	12	12	12	12
Reserves	10,919	14,160	16,067	18,685	Gearing				
Total Stockholders' Equity	11,095	14,337	16,244	18,861	Current Ratio	2.08	2.40	2.59	2.82
Total Liabilities & SE	21,253	24,450	26,411	29,153	Net Debt to Equity	38%	-19%	-27%	-26%

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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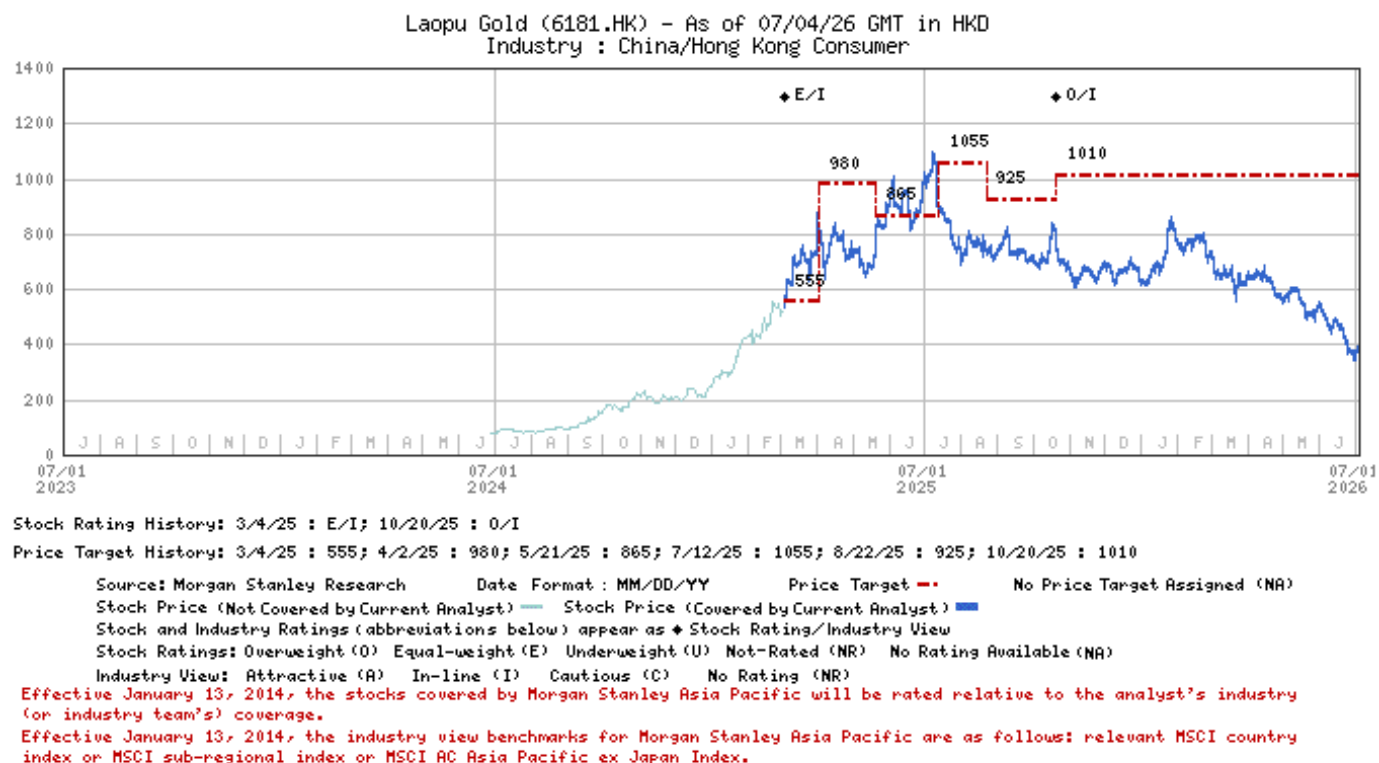
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Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.60
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.00
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb20.12
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$26.32
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$13.46
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$23.20
Li Ning (2331.HK)	O (10/09/2019)	HK\$15.20
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$55.95
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$152.70
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb58.86
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.87
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.87
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.03
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$1.90
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.72
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.10
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb38.40
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb97.49
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$48.00
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb53.02
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$11.75
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.14
Ecovacs Robotics Co Ltd (603486.SS)	E (10/30/2023)	Rmb52.90
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb34.36
Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$31.22

Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.10
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.32
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$380.00
Super Hi (HDL.O)	E (01/14/2025)	US\$12.29
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb43.10
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb79.89
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.23
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.01
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$17.50
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$22.76
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb43.15
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb127.90
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$112.00
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	O (04/14/2020)	Rmb39.00
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb20.58
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$20.86
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,206.91
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb78.23
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$88.35
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb80.00
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$32.82
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb38.68
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$41.54
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb111.74
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb23.42
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$11.26
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$45.42
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb54.44
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.70
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.38
WH Group (0288.HK)	O (02/24/2025)	HK\$8.50
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb73.76
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb39.19
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb10.90
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb25.07
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$41.70
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.68
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$20.14
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$6.05
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb38.38
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb33.67
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb31.91
Shenzhen International Group Holdings (2313.HK)	O (07/13/2017)	HK\$41.90
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$12.84
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$128.60
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$12.88

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.